THE PROFIT MACHINE

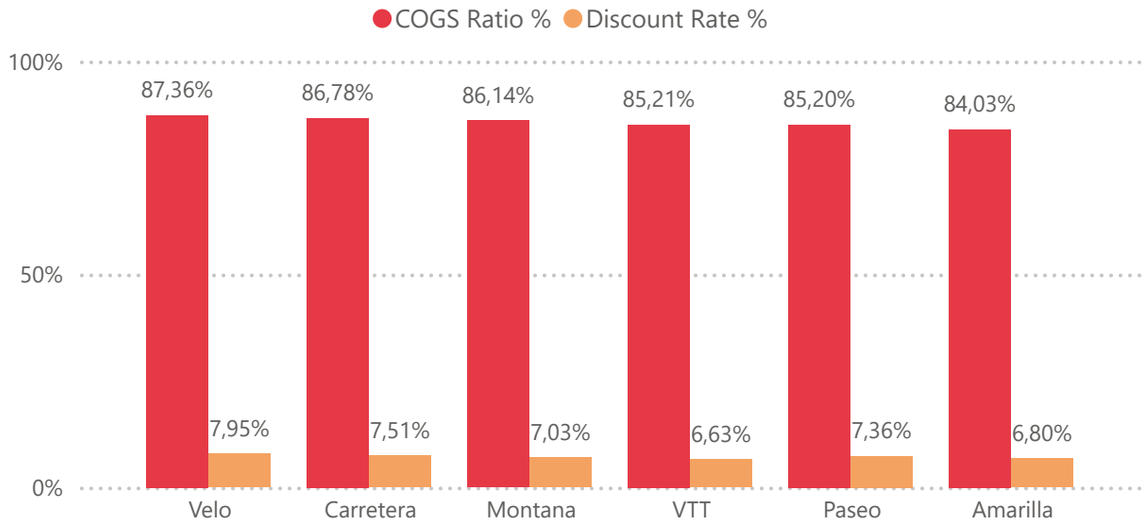
THE COST STORY

Where Does Margin Go? COGS vs Discounts

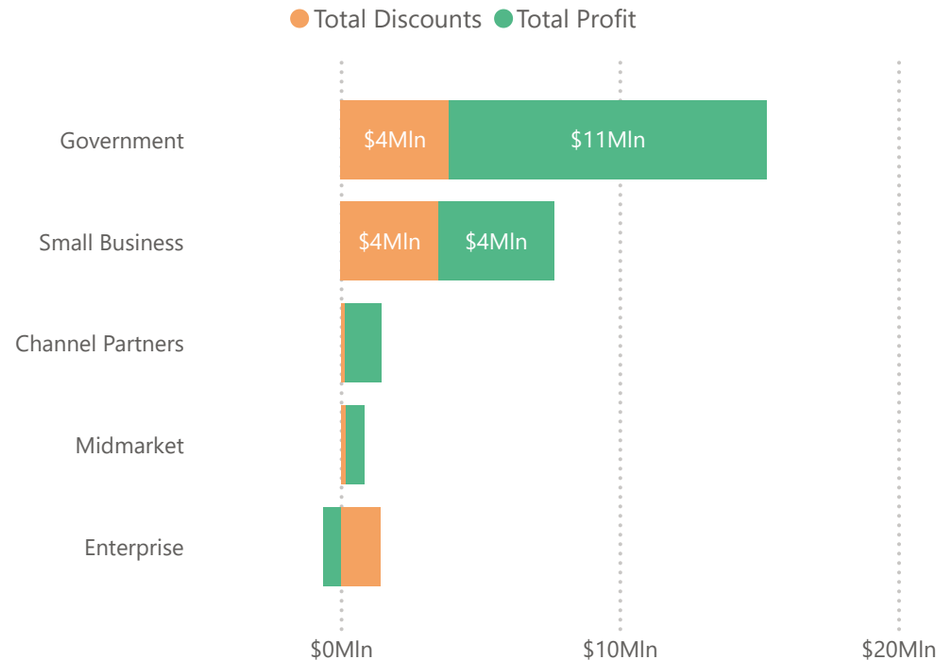
2013 | 2014

Discount Rate	COGS Ratio	Profit Margin	Avg Price Premium
7,22%	85,67%	14,33%	1,85

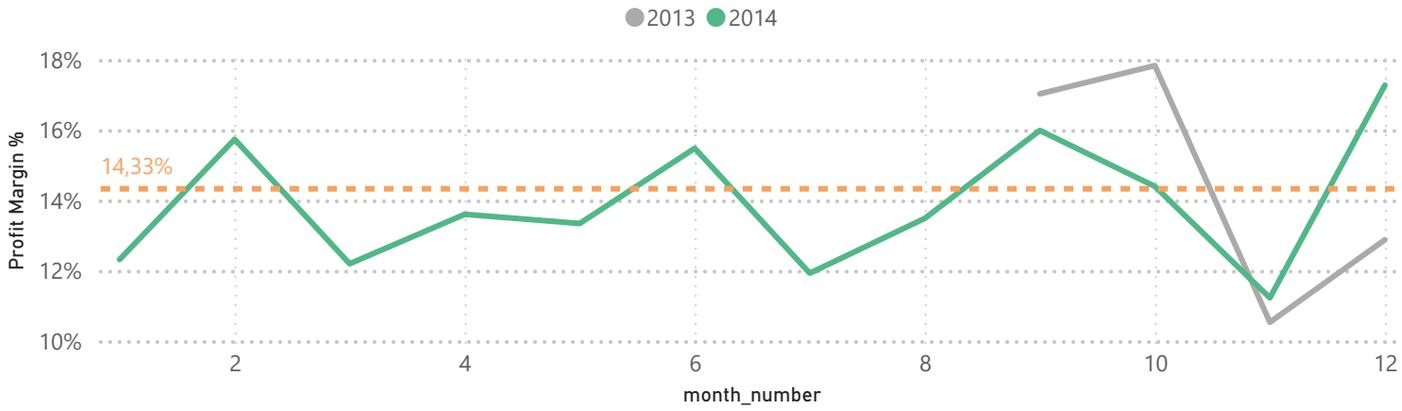
What Eats Our Margin: COGS vs Discounts by Product



Discounts Given vs Profit Earned by Segment



Profit Margin Trend: Are We Improving?



💡 KEY INSIGHTS

COGS dominates: 84-87% of revenue goes to production across all products.

Discounts are small (6-8%) but Government & Small Business receive the most — yet remain profitable.

2014 trend: margin improving in H2, peaking at 17%+ in Oct & Dec.